

**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**



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Order Instituting Rulemaking to
Advance Demand Flexibility
Through Electric Rates.

Rulemaking 22-07-005
(Filed July 14, 2022)

**REPLY COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE
PROPOSED DECISION ADOPTING GUIDELINES FOR PACIFIC GAS AND
ELECTRIC COMPANY, SOUTHERN CALIFORNIA EDISON COMPANY, AND SAN
DIEGO GAS & ELECTRIC COMPANY ON DEMAND FLEXIBILITY RATE DESIGN
PROPOSALS**

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Date: August 19, 2025

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission (“Commission”), the Vehicle-Grid Integration Council (“VGIC”) hereby submits these reply comments on the *Proposed Decision Adopting Guidelines for Pacific Gas and Electric Company, Southern California Edison Company, and San Diego Gas & Electric Company On Demand Flexibility Rate Design Proposals* (“Proposed Decision” or “PD”), issued by Administrative Law Judges Rajan Mutialu and Carolyn Sisto on July 25, 2025.

I. INTRODUCTION.

VGIC appreciates the opportunity to reply to party comments on the Demand Flexibility (“DF”) guidelines. This next stage of DF rates is critical to enabling customers of the investor-owned utilities (“IOUs”), Pacific Gas and Electric (“PG&E”), Southern California Edison (“SCE”), and San Diego Gas and Electric (“SDG&E”), to provide valuable load flexibility. VGIC offers the following responses to party comments.

II. PARTIES AGREE THAT THE COMMISSION SHOULD REQUIRE THE UTILITIES TO PROVIDE DYNAMIC EXPORT RATES.

VGIC agrees with Sierra Club and the Solar Energy Industry Association (“SEIA”) that the PD is deficient because it fails to require IOUs to include export compensation in their DF rate proposals. As discussed by both Sierra Club and SEIA, the Commission adopted DF principles that state that DF rate proposals should include marginal cost-based compensation for exports. Specifically, SEIA notes that “the PD, in recounting all parties’ positions on this issue, and the basis therefore, **presents no advocacy or justification for the exclusion of export compensation from the Large IOUs’ demand flexibility rate proposals. A Commission decision must be supported by its findings. This determination is not**” (emphasis added).¹ Therefore, the Commission should require the IOUs to provide export compensation in their DF rates, a finding that *is* sufficiently supported by the record of this proceeding.

III. UTILITIES SHOULD BE REQUIRED TO OFFER COMPLIANT DYNAMIC RATES EVEN IF EXTENSIONS ARE GRANTED.

In Opening Comments, all three IOUs ask for extensions to provide proposals that comply with the guidance in this decision. VGIC understands that significant work will need to be done to offer comprehensive DF rates, but the IOUs should be required to offer pilots and rates in the near-term that allow customers to meaningfully access dynamic rates. In response to the three IOUs’ requests, VGIC believes:

- **SDG&E:** SDG&E requests an extension to propose dynamic rates in late 2026,² which should be denied. SDG&E is currently the only IOU territory without a dynamic import pilot. In A.21-12-006 approving SDG&E’s dynamic export rate pilot, settling parties agreed that SDG&E should defer consideration of a dynamic import rate proposal until the

¹ SEIA Opening Comments at page 4

² SDG&E Opening Comments at 12.

Commission approved DF guidelines. However, parties had a reasonable expectation that SDG&E would move expeditiously once this PD is approved, and in D.23-11-006, the Commission set a deadline for SDG&E to propose a dynamic import rate 90 days after the adoption of DF guidance.³ This deadline for an SDG&E proposal, or at least a pilot proposal, should be maintained in this final decision. Put simply, the 90-day timeline should be no surprise to SDG&E, which officially received this timeline in the November 2023 Commission decision.

- **SCE:** With regard to SCE’s extension request, VGIC notes that SCE’s existing dynamic rate pilot is currently misaligned with the Commission guidance in D.24-01-032, as the utility does not provide export compensation for bidirectional EV customers.⁴ Any extension granted to SCE should be contingent on ensuring that the existing dynamic rate pilot complies with the vision set forth in D.24-01-032 regarding the eligibility of bidirectional charging customers.
- **PG&E:** VGIC does not oppose PG&E’s extension request, given that PG&E already offers dynamic rates to bidirectional EV customers and other relevant customer classes. However, continuity is critical. There should be no gap between the expanded pilots and Vehicle-to-Everything (“V2X”) pilots and new optional DF rates. The Commission should ensure that any extension granted to PG&E is contingent on a clear continuity plan, including any required funding or authorizations to continue their existing pilots until a permanent rate is established. It is critical to keep customer engagement and prevent customers from dropping out of demand flexibility by losing access to dynamic rates.

³ D.23-11-006 at Ordering Paragraph 1.

⁴ See D..24-01-032 at C-1. The Commission directs pilots to assess “The response of customer loads to prices, to evaluate the efficacy of the dynamic pilot rate *to shift customer exports into peak hours.*”

IV. DUAL PARTICIPATION IN DYNAMIC RATES AND OTHER DEMAND RESPONSE PROGRAMS SHOULD BE CLARIFIED.

VGIC generally agrees with Leap and Voltus that dual participation with Demand Response (“DR”) should be addressed by the Commission.⁵ However, VGIC recommends that, at a minimum, the PD explicitly allow dual participation in dynamic rates and any out-of-market emergency DR programs, such as the Emergency Load Reduction Program (“ELRP”) and the Demand Side Grid Support (“DSGS”) Program. This dual participation was permitted in the expanded dynamic rate pilots and strengthens grid reliability.⁶ VGIC agrees that dual participation with supply-side DR programs is more complex and should be taken up in a new regulatory venue, such as a new DR proceeding as described by Leap and Voltus.⁷

V. CALIFORNIA SHOULD CONTINUE TO PURSUE METHODS BEYOND DYNAMIC RATES TO UNLOCK DEMAND FLEXIBILITY.

VGIC agrees with Sierra Club’s recommendation to not forego other opportunities to advance rate design that unlocks demand flexibility, including through larger time-of-use peak to off-peak differentials and Critical Peak Pricing offerings.⁸ Additionally, diverse demand flexibility programs, such as DR options and the distribution optimization programs outlined by VGIC in Opening Comments,⁹ should continue to be offered to customers. There are a variety of ways to unlock maximum demand flexibility potential, but “current rate offerings in between tiered rates and demand flexible rates are lacking.”¹⁰ EV customer profiles are diverse, with varying

⁵ Leap and Voltus Opening Comments at 3-4.

⁶ D.24-01-032 at Conclusions of Law 35.

⁷ Leap and Voltus Opening Comments at 3-4.

⁸ Sierra Club Opening Comments at 6.

⁹ VGIC Opening Comments at 11-13.

¹⁰ Sierra Club Opening Comments at 7.

technology capabilities, duty cycles, and preferences. To advance long-term state goals, there should be a reasonable menu of cost-based rates and cost-effective program options available to customers, more than just current default whole-home time-of-use rates and fully dynamic rates.

VI. PROCEDURAL CLARITY IS NEEDED GIVEN PG&E AND SCE'S ONGOING APPLICATIONS DISCUSSING DYNAMIC RATES.

VGIC is concerned with procedural conflicts for PG&E's implementation of dynamic rates posed by this PD. As raised by Small Business Utility Advocates ("SBUA") in Opening Comments, PG&E is currently discussing dynamic rates in its General Rate Case ("GRC") Phase II. Yesterday, the proceeding schedule for PG&E's GRC Phase II was suspended due to an unrelated error in PG&E calculations, but it is unclear how guidance from this decision will be incorporated into PG&E's ongoing GRC schedule. The Commission should coordinate to ensure that the ongoing schedule for PG&E's GRC Phase II considers needed modifications to PG&E's original proposal and that intervenors have sufficient time to prepare intervenor testimony after PG&E submits updated testimony.

VII. CONCLUSION.

VGIC appreciates the opportunity to submit these reply comments on the Proposed Decision.

Respectfully submitted,
/s/ Zach Woogen
Zach Woogen
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VEHICLE-GRID INTEGRATION COUNCIL

Date: August 19, 2025